Monetary Policy Statement

January-June 2013

Monetary Policy Department
Bangladesh Bank
www.bb.org.bd

Monetary Policy Statement *(January-June 2013: H2FY13)*

Executive Summary

This issue of the Bangladesh Bank (BB) half yearly Monetary Policy Statement (MPS) outlines the monetary policy stance that BB will pursue in H2 FY13 (January-June 2013), based on an assessment of global and domestic macro-economic conditions and outlook. This MPS was preceded by productive consultations with a range of key stakeholders and web-based comments were also received.

In FY10 and FY11 BB eased monetary policy significantly in order to cushion the impact of the global crisis on the Bangladesh economy. Due to this and other pro-active measures, the Bangladesh economy emerged largely unscathed from this global crisis, averaging over 6% growth between FY09 and FY11. In FY12 the economy faced a different set of challenges related to persisting inflationary and balance of payments pressures. In order to address these challenges BB's monetary stance took a more restrained stance while accommodating a near 20% private sector credit growth. The monetary growth targets set in January 2012 were met by the end of FY12 and key outcomes – falling inflation and easing of external sector pressures – were achieved. The July 2012 MPS had as its core objectives (i) limiting domestic credit growth to levels consistent with the FY13 single digit CPI inflation target (ii) ensuring that productive growth-conducive activities are not hampered by access to credit and (iii) preserving external sector stability including building reserves to more comfortable levels.

Data for the first half of FY13 suggest that the achievement of these objectives is largely on track. Average inflation has been declining steadily over the past nine months, from a peak of 10.96% in February to 8.74% in December and within reach of the FY13 CPI inflation target of 7.5%. This decline has been due both to lower food and non-food price inflation with point to point non-food inflation declining from a peak of 13.96% in March to 8.43% in December 2012. A measure of core inflation defined as non-food, non-fuel, inflation also reflects these downward trends.

In 2013, global growth is expected to be 3.6% with the average for developing countries projected at 5.6% and high income countries at 1.5% - a marginal improvement over 2012 and with significant downside risks in key trading partners. The overall credit envelope set by BB in July 2012, as shown by the most recent private sector credit growth data, was more than sufficient to meet the Government's growth target of 7.2%. However primarily due to the sluggish global economy various forecasts highlight significant dampening influences on this growth target. BB's forecast suggests that FY13 real GDP growth is unlikely to be less than the previous ten years average and may exceed it if global conditions improve.

On the external front, gross foreign reserves were US$ 12.8 billion in end December 2012 and equivalent to about 4.0 months of import cover. The Taka: USD exchange rate has remained largely stable with the Taka appreciating by 2.6% between July 1st-December 31st. Pro-active steps to secure alternative sources of external financing for oil imports, lower import demand especially for food-grains, continuing export growth combined with strong remittance growth all contributed to this strengthened external position.

There were three key developments related to monetary policy in H1FY13. First the sharp increase in foreign remittances (22% in H1FY2013) and lower imports contributed to a sharp increase in Net Foreign

Assets. While this contributed to the much-needed reserve build-up, it also led to some over-shooting of monetary targets with broad money growth at 18.6% in November against a target of 16.2%. The second key development relates to the sharp decline in inter-bank rates which fell from a peak of around 20 percent in January 2012 to around 12% a year later. Customer deposit and lending rates remain more sticky, although with the decline in inflation and short term borrowing rates, these are expected to decline in the coming months. The third development centers around the healthy growth in private sector credit which grew by 17.4% in November 2012, while public sector credit growth was only 5%. Term loans are also now less concentrated among large borrowers, with a growing share going to SMEs.

BB is intensifying its focus on improving the transmission of monetary policy by strengthening market mechanisms and a key area is strengthening secondary market trading in government securities. Measures taken to this end include enhancing the shorter-dated portion of bills/bonds issues, where there is greater investor appetite, and launching an electronic trading window on BB's website. Financial sector stability is also important for effective monetary policy. Recent measures include tightening loan classification and provisioning requirements towards convergence with global best practices, introducing online supervisory reporting requirements on financial transactions and strengthening onsite and offsite vigilance. Various measures to detect fraud have been implemented; BB has strengthened its supervision capacity as well as reiterated the role that bank boards and management play in this regard. BB will focus on improving the quality, timeliness and transparency of reporting from the financial sector. BB will also commence special diagnostic examinations at the four SOCBs in early 2013 and will begin publishing a set of quarterly performance indicators on these banks. BB will continue to focus on ensuring that credit is used for productive purposes consistent with financial inclusion goals. BB's policies have also contributed to stabilizing the capital market and BB will continue to collaborate with the BSEC.

The FY13H2 monetary policy stance is designed to ensure that the credit envelope is sufficient for productive investments to support the attainment of the government's FY13 real GDP growth target while keeping it consistent with the targeted 7.5% average inflation rate for FY13. In view of the risks to output growth due to the uncertainties around the global economy, BB will reduce all repo rates by 50 basis points effective immediately. BB has also revised its monetary program with a broad money growth target of 17.7% in June 2013 compared to the FY13H1 MPS target of 16.5%, and a new private sector growth envelope of 18.5% in June 2013 compared with the original program of 18%. BB has created further space in its monetary program in case there is greater lending appetite for productive purposes in H2FY13 and sufficient to accommodate even an optimistic scenario for FY13 output growth. At the same time BB remains committed to bringing inflation down further, and also to avoiding asset price bubbles, and as such continues to encourage banks to use the space for private sector growth for productive, and not speculative, purposes. This 'balanced' monetary policy will also aim to minimize excessive volatility of the exchange rate. These objectives involve trade-offs and the balance between BB's instruments and its targets will be reviewed regularly.

Monetary policy statement (January-June 2013)

Global context

While global growth prospects for 2013 are expected to be marginally better than 2012, they remain highly uncertain in key trading partner countries, particularly in Europe. The United States is showing some signs of recovery but overall the growth prospect for 2013 in advanced economies remains bleak while growth has slowed in developing countries (see Table 1).

Table 1 World GDP growth

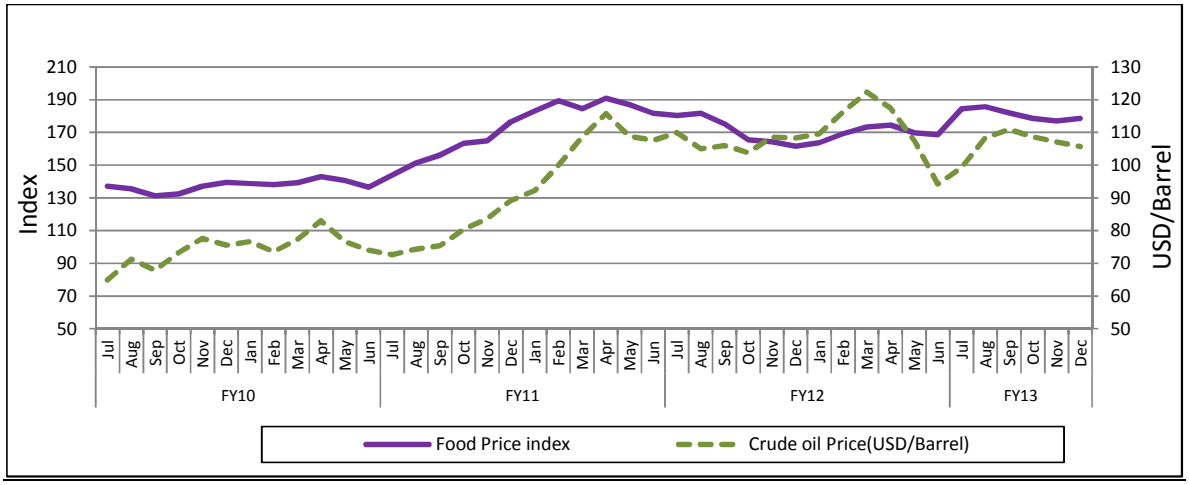
(year- on- year, in percent)

	2011	2012 e	2013 (Proj.)
World	3.8	3.3	3.6
High income countries	1.6	1.3	1.5
Other Advanced Economies	2.5	1.5	2.4
Euro Area	1.4	-0.4	0.2
USA	1.8	2.2	2.1
Developing countries	6.2	5.3	5.6
China	9.2	7.8	8.2
India	6.8	4.9	6.0

Source: IMF World Economic Outlook (October 2012)

Commodity prices continue to represent a key country risk. Global food prices remain at elevated levels (chart 1). Global wheat prices are expected to rise in the first half of 2013 as indicated by futures market data, which will have a knock-on impact on domestic prices. Global rice prices are expected to remain stable at least over the first half of 2013 due to favorable harvests in key exporting countries. Oil prices have fluctuated and crude oil prices rose sharply between July-September 2012. Since then there has been minor easing of prices but the uncertainties in the Middle East continue to persist and oil prices are likely to remain volatile.

Chart 1: Global Food and Oil Prices



Recent economic developments

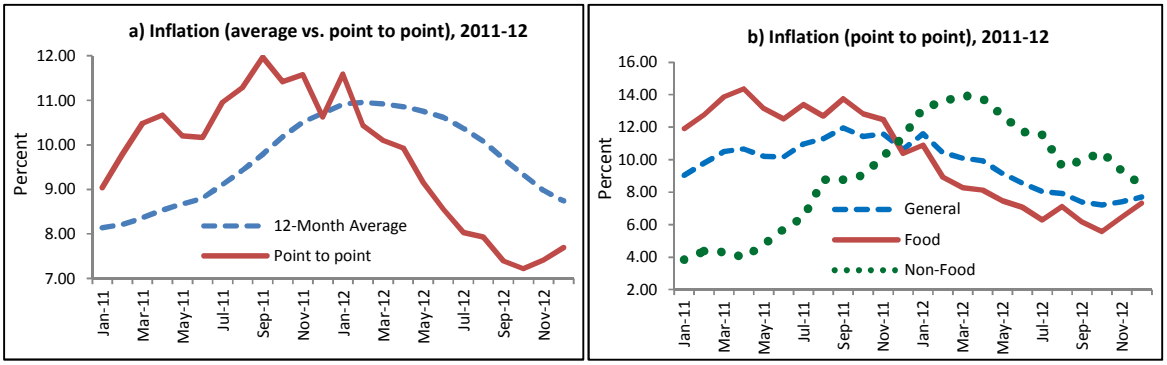
In FY10 and FY11 BB eased monetary policy significantly in order to cushion the impact of the global crisis on the Bangladesh economy. Due to this and other pro-active measures, the Bangladesh economy emerged largely unscathed from this global crisis, averaging over 6% growth between FY09 and FY11. In FY12 the economy faced a different set of challenges related to rising inflation and balance of payments pressures. In order to address these challenges BB's monetary stance was more restrained and yet able to accommodate a private sector credit growth rate of close to 20% which was more than sufficient to meet the initial GDP growth target. The monetary growth targets set in January 2012 were met by the end of FY12 and key outcomes – falling inflation and containment of external sector pressures – were achieved. The July 2012 MPS had as its core objectives (i) limiting domestic credit growth to levels consistent with the FY13 CPI inflation target (ii) ensuring that the GDP growth target is not constrained by access to credit for productive purposes and (iii) preserving external sector stability including building up reserves to more comfortable levels. Data from the first half of FY13 suggest that these objectives are largely on track.

Inflation

Average inflation, using the 1995/96 base year, has been declining steadily over the past nine months, from a peak of 10.96% in February to 8.74% in December. This decline has largely been due to lower food price inflation, though of late a decline in average non-food inflation is also contributing to this trend. A measure of 'core inflation', defined as non-food, non-fuel inflation has also declined.

Point to point food inflation fell from 10.9% in January 2012 to 5.57% in October 2012 though over the past two months it has crept back up again to 7.33% in December 2012. Point to point non-food inflation has declined from a peak of 13.96% in March 2012 to 8.43% in December 2012 and average non-food inflation is following this trend with a lag having peaked in October 2012 at 11.81% and gradually falling to 11.45% in December 2012. Based on current trends the FY13 CPI average inflation target of 7.5% announced in the FY13 Budget appears achievable, though risks remain. These risks stem from volatile global commodity prices and particularly the pass-through to food prices, any further administered price increases in the energy sector, as well as the sharp increase in remittance inflows in H1FY13 (22%) which will put upward pressure on asset prices and non-food inflation.

Chart 2: Inflation



Output growth

While BB forecasts that GDP growth in FY13 will be in line with the previous ten years average, it will likely fall short of the 7.2% target set in the FY13 Budget. The overall credit envelope set by BB, as shown by the most recent private sector credit growth data, was more than sufficient to meet the original growth target. However the increase in investment required for output growth of beyond 7% is unlikely to materialize in FY13 due primarily to the sluggish global economy and infrastructure gaps. We expect agricultural output targets to be met and our forecasted agricultural growth at 3.5-3.75% will be higher than FY12. Domestic demand will on one hand be fueled by higher worker remittance inflows while on the other hand it will be counter-balanced by more subdued rural consumer demand due to lower rice prices. Export growth is expected to be similar to that achieved in FY12 mainly in light of the Eurozone crisis. We are projecting industrial sector growth at between 7.25-7.5% in FY13, in line with historical averages, but less than the 9.5% in FY12. This slowdown is also reflected in the breakdown of import data. While there is positive growth in capital machinery imports between July-November 2012 of 2.5% compared to a year earlier, there was a 5.2% decline in industrial raw materials, 3.2% decline in intermediate goods imports and 1.6% decline in machinery for miscellaneous industries.

Service sector growth in FY13 is projected at 6.2-6.5% which is higher than the 6.1% growth in FY12 due to sharp increase in bank lending for key service sub-sectors as well as insights from various service-sector related proxy indicators in H1FY13. These sectoral assumptions lead to our forecasted output growth range of 6.1-6.4% for FY13. In 2013, global growth is expected to be 3.6% with the average for developing countries is projected at 5.6% and high income countries at 1.5%. In this context BB's forecast for GDP growth for Bangladesh in FY12 – of between 6.1-6.4% - remains more than respectable if it materializes (details of this growth forecast can be found in the Bangladesh Bank Quarterly Vol. X No. 1).

External balances

On the external front, gross foreign reserves were around $12.8 billion in end December 2012 and equivalent to about 4.0 months of import cover. The Taka: US $ exchange rate has remained largely stable appreciating by 2.6% between July 1st-December 31st. Pro-active steps to secure alternative sources of external financing for oil imports, lower import demand especially for food-grains combined with strong remittance growth all contributed to this strengthened external position.

The FY13H1 monetary policy stance contributed to extending the external sector stability achieved by mid 2012. The FY12H2 MPS stated that "*The external sector is facing a challenging environment and addressing this is an integral part of Bangladesh Bank's monetary stance….As such we expect that a new external sector equilibrium will be reached soon*" (pg 2). By March 2012 this 'new external sector equilibrium' was reached. Balance of payments pressures were eased with the more restrained monetary policy regime, slowdown in import demand and access to a greater range of foreign financing sources. The Taka's value which had fallen by around 15% vis-a-vis the US dollar in the twelve months preceding mid January 2012 reached a new equilibrium in February 2012 and in the eleven months since has risen in value by around 2.9% vis-à-vis the US dollar. The FY13H1 MPS stated that "*this monetary policy stance aims to preserve the country's prevailing external sector stability. BB will continue to*

support a market-based exchange rate while seeking to avoid excessive volatility". Table 2 presents the key external sector indicators which illustrate the gains in external sector stability compared to a year earlier with a build-up in the overall balance of payment surplus and in external reserves.

Table 2: External Sector Summary

Items	FY11	FY12	Jul.-Nov./Dec. 2011	Jul.-Nov./Dec. 2012
Export(% changes)	41.5	5.9	15.7	7.0
Import (% changes)	41.8	5.5	27.4	-6.9
Remittances(% changes)	6.0	10.2	9.3	21.9
FDI (in million USD)	768	995	583	650
Overall Balance (in million USD)	-655	494	-915	1752
Forex Reserve (in million USD)	10912	10364	9635	12636
Exchange Rate (Tk./USD)	74.2	81.9	84.4	79.6

The overall external balance has improved. Export growth in FY12 remained in positive territory with 7% growth in December 2012 (see Annex 1 for the balance of payments table). The import slowdown was partly due to the fact that food grain and consumer goods imports was almost $890 million less between July-November 2012 compared to the same period in FY11 due to existing high food stocks and excellent domestic harvests. However the picture for imported inputs required for manufacturing growth is of some concern as discussed in the section on output growth.

Remittances have been buoyed by larger numbers of Bangladeshi workers moving abroad over the past year with significant growth coming from destinations such as Oman (55% growth in 2012), UAE (26%) and Saudi Arabia (16%). H1FY13 remittance growth of 22% is much higher than the remittance growth of 10.3% in FY12 and 6% growth in FY11. Even accounting for the fact that this remittance growth is likely to be more moderate in H2FY13 in light of recent slowing of workers moving abroad, we still project 15% remittance growth for FY13. We project a current account surplus of USD 1.1 billion for FY13.

Foreign aid disbursements and foreign investment in H1FY13 were significantly higher than the previous year. Total aid disbursements between July-November 2012 was USD 906 million, or 107% higher, than the corresponding period the previous year. Foreign investment between July-November 2012 was $650 million compared to $583 million in the same period the previous year. In addition government approvals for local corporate term loans from foreign sources increased in 2012 with US$1.49 billion approved compared with $818 million in 2011 and $302 million in 2010. Annex 1 presents our balance of payment outlook.

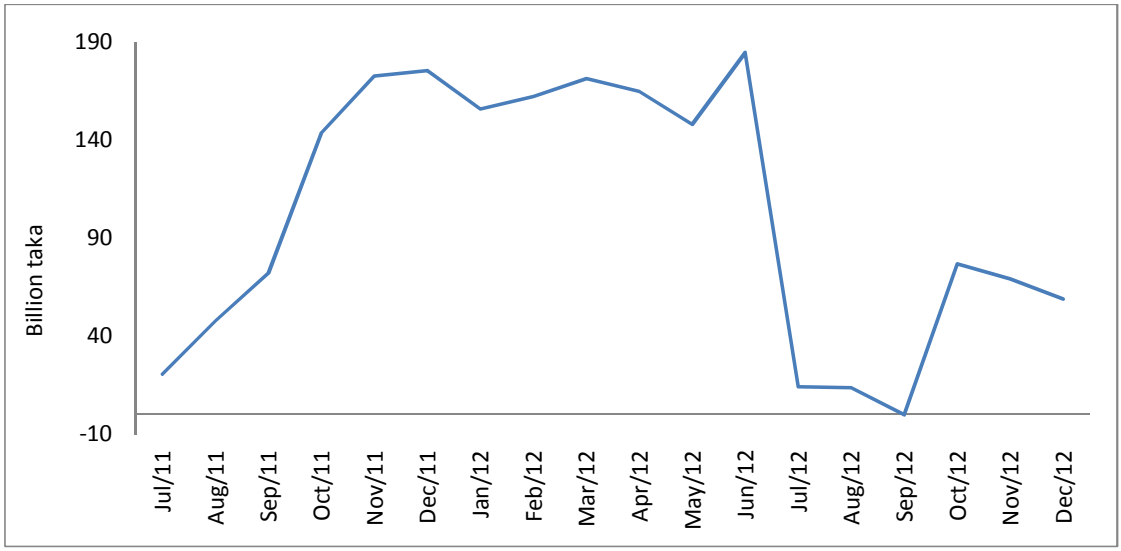
Monetary, fiscal and financial sector issues and inter-linkages

The key issue relating to fiscal-monetary coordination relates to the level and composition of domestic borrowing. The monetary program is inter-linked with the fiscal stance and specifically limiting Government borrowing from the banking sector, is essential for achieving these objectives. Fiscal-monetary coordination among senior policymakers is ensured with regular meetings of a Coordination

Council chaired by the Minister of Finance. At the operational level a key coordinating body is the Cash and Debt Management Committee where representatives from Bangladesh Bank and Ministry of Finance meet regularly to discuss resource inflows, domestic and external financing outlook and key operational issues related to Treasury auctions and foreign resource mobilization.

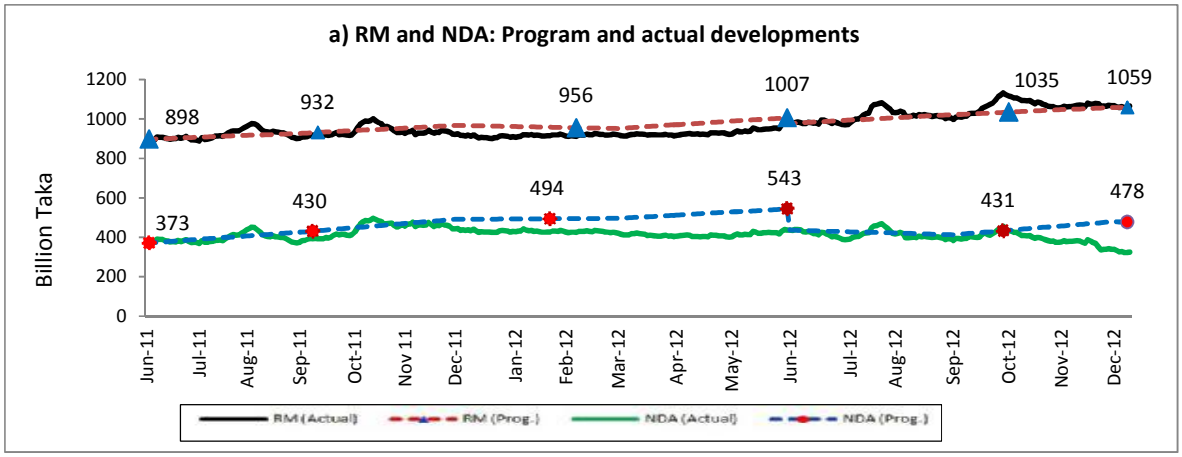
In the first half of FY12 low foreign aid inflows, subsidy payments and low levels of non-bank borrowing, had led to rapid growth of government borrowing from the banking sector, including from BB. However, the second half of FY12 saw a clear turn-around and ultimately net credit to government from the banking system of 184.7 billion taka was less than the original budget of 189.6 billion. The first half of FY13 shows that Government borrowing from the banking system has been restrained with 58.9 billion taka in net borrowing upto December 31st which is around 29% of the budgeted amount (see chart 3). Even if government borrowing from the banking sector accelerates in H2FY12, BB expects that it will remain at or below the budget envelope.

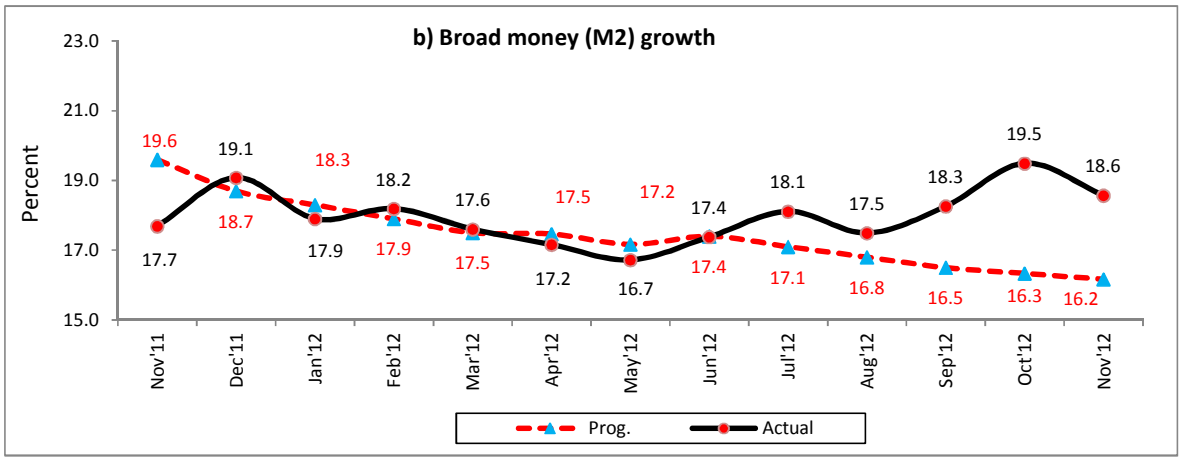
Chart 3: Net Credit to Government from the Banking System

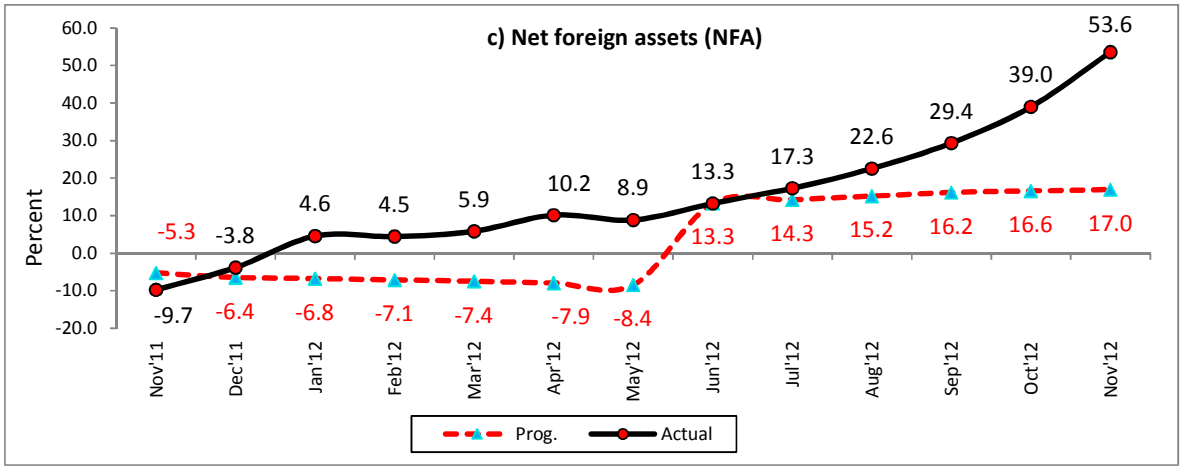


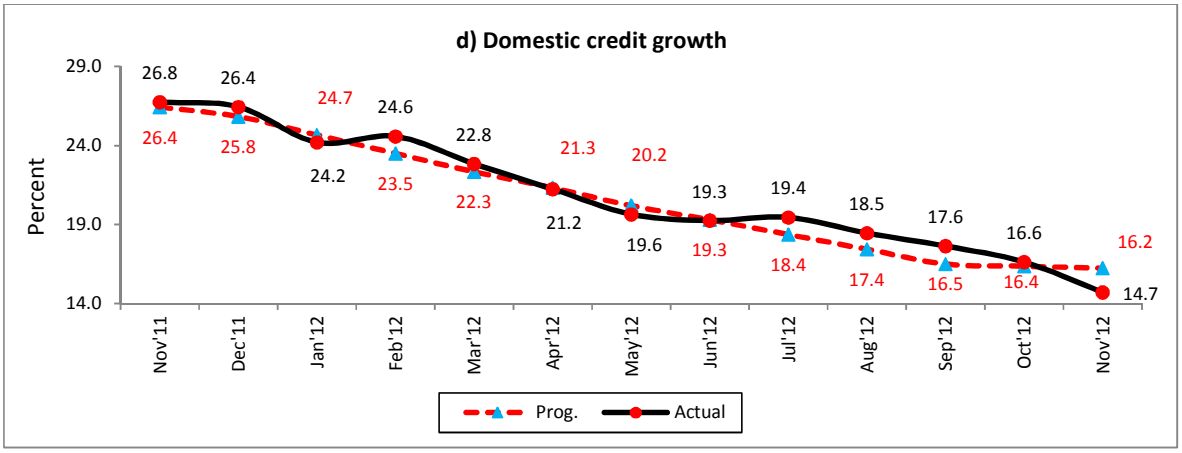
Monetary growth targets for H1FY13 stayed on track reinforcing the credibility of the stance taken in the previous Monetary Policy Statement. Reserve money growth and growth of net domestic assets of Bangladesh Bank remained within program targets (see chart 4). Broad money growth for November 2012 is 18.6% above the 16.2% program target due to very sharp increase in Net Foreign Assets (NFA, as a result of the remittance and import patterns discussed above. Domestic credit growth on the other hand is closely following the program path aided by the restrained levels of public sector credit growth discussed above. Since the weight of public sector credit in total domestic credit remains around 21% the bulk of credit in the economy is private sector credit. While private sector credit growth was above the program path in the first three months of FY13, the November 2012 figure shows that at 17.4% growth it is below the BB program level of 18.3%. This program level was sufficient to meet the government's original output growth targets and is higher than the 15% average private sector credit growth in emerging Asian countries.

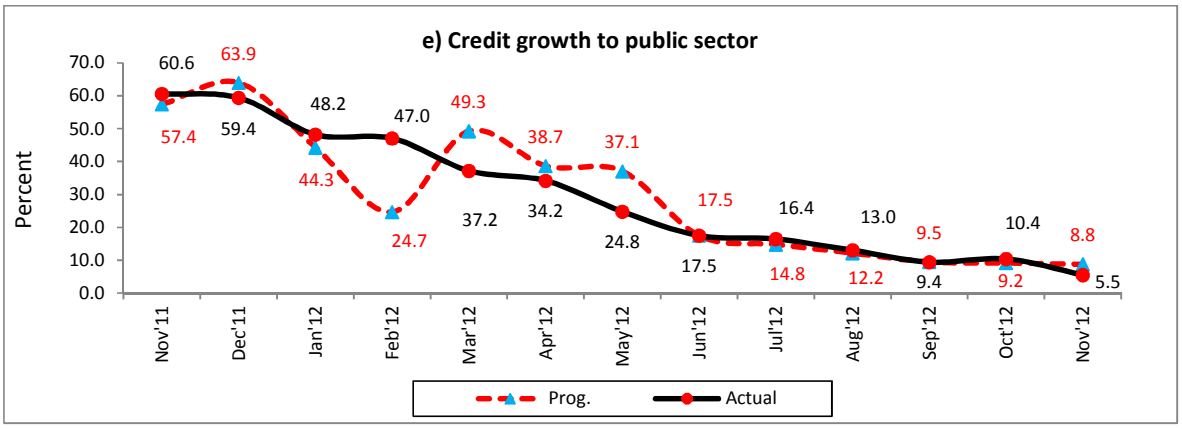
Chart 4: Monetary and Credit Developments

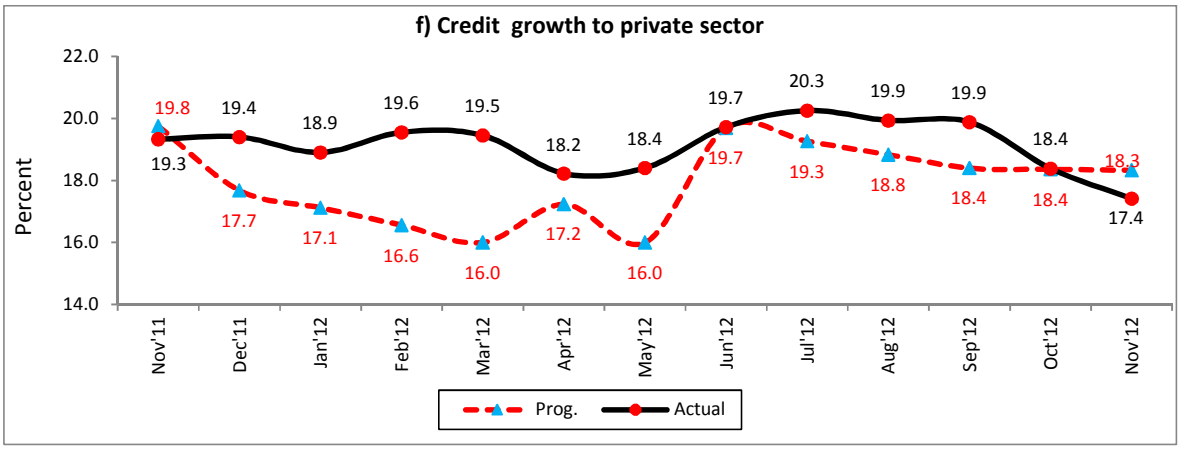






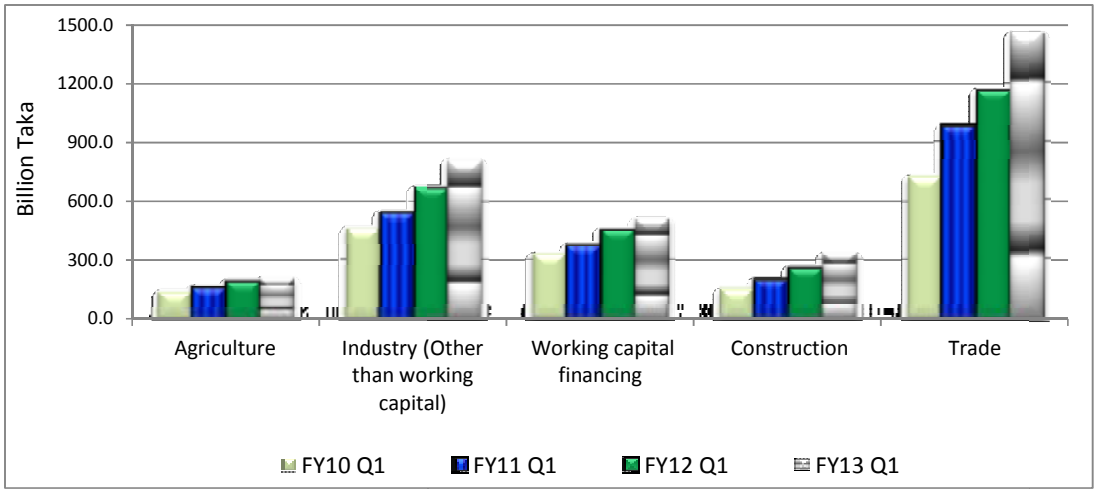






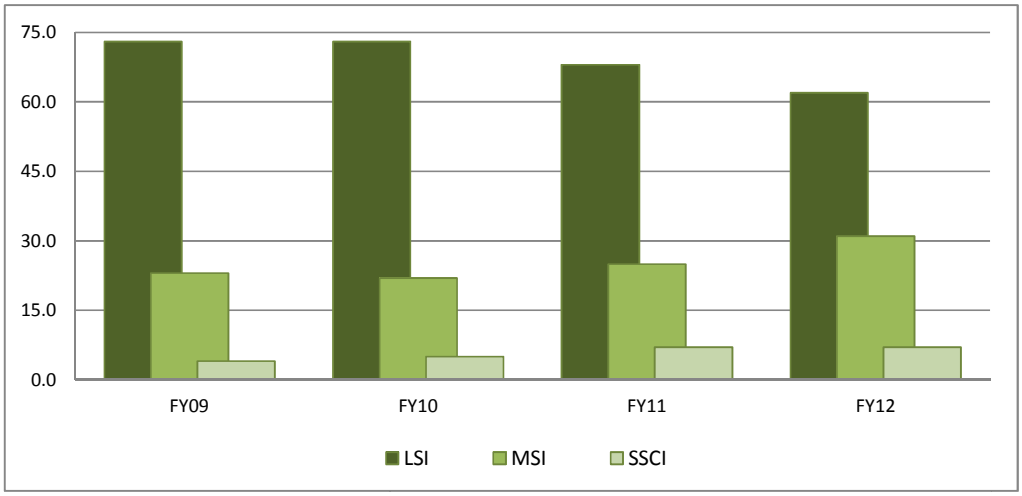
Analysis of the economic purpose of outstanding loans to the private sector indicates a virtually unchanged share of industrial term loans (22%) in total outstanding credit, with a small reduction in working capital financing with a corresponding increase in the share of construction and trade loans. Chart 5 presents this information in nominal terms. In addition inflow of foreign private loans, mostly of medium-long term tenor, amounted to nearly US$1 billion during the FY12.

Chart 5: Bank Advances (Outstanding) by Economic Purposes



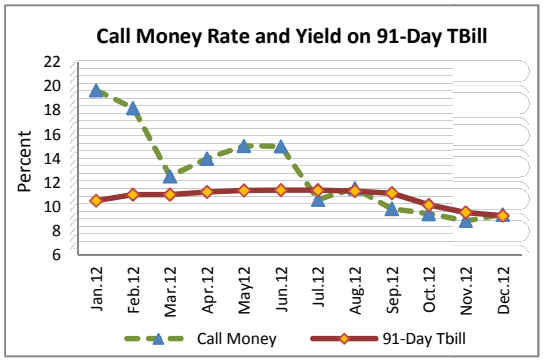
Term loans are now going to a more diversified set of borrowers. The share of term loans going to large industries has declined from 73% in FY09 to 62% in FY12. The share of term loans going to medium scale borrower has increased from 23% to 30% during this period and that to small industries from 4% to 7%. This diversification is one indicator of greater financial inclusion.

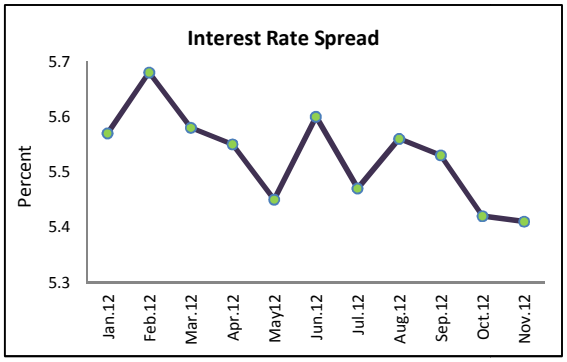
Chart 6: Percentage Share of Industrial Term Credit



Short term borrowing costs have declined and interest rate spreads have fallen marginally but need to decline further. At the customer level both deposit and lending rates rose in FY12 and have largely remained at these levels in FY13H1. Call money rates have declined steadily in FY13H1 suggesting an easing of liquidity pressures in the banking system. Interest rate spreads have on average fallen – from 5.68% in February to 5.41% in November 2012 - since the January instruction by BB on limiting spreads was issued (see chart 7). However they continue to remain high for Foreign Commercial Banks (FCBs), whose averages spreads are almost double that of the average of other banks.

Chart 7 : Borrowing and Lending Rates





The FY13H2 monetary policy stance takes these economic and financial sector developments into account. The FY13H2 monetary policy stance is designed to ensure that the credit envelope is sufficient for productive investments to support the attainment of the government's FY13 real GDP growth target while keeping it consistent with the targeted 7.5% average inflation rate for FY13. In view of the risks to output growth due to the uncertainties around the global economy, BB will reduce all repo rates by 50 basis points effective immediately. BB has also revised its monetary program with a broad money growth target of 17.7% in June 2013 compared to the FY13H1 MPS target of 16.5%, and a new private sector growth envelope of 18.5% in June 2013 compared with the original program of 18%. BB notes that the market appetite for private sector credit, at 17.7% in November, remains less than the original program's private sector credit growth's target. However BB has created further space in its monetary program in case there is greater lending appetite for productive purposes in H2FY13 and sufficient to accommodate even an optimistic scenario for FY13 output growth. At the same time BB remains committed to bringing inflation down further, and also to avoiding asset price bubbles, and as such continues to encourage banks to use the space for private sector growth for productive, and not speculative, purposes. This 'balanced' monetary policy will also aim to minimize excessive volatility of the exchange rate. These objectives involve trade-offs and the balance between BB's instruments and its targets will be reviewed regularly.

Table 3: Monetary Aggregates (Y-o-Y growth in percent)

Items	Actual			Jul'12 MPS Prog.	Jan'13 MPS Prog.
	FY10	FY11	FY12	June 2013	June 2013
1. Net Foreign Assets	41.0	6.2	13.4	0.9	14.0
2. Net Domestic Assets	19.0	24.7	18.1	19.0	18.4
Domestic Credit	17.5	28.2	19.3	18.6	18.9
Public sector credit	-4.2	38.3	17.5	20.8	20.3
Private sector credit	24.2	25.8	19.7	18.0	18.5
3. Broad Money	22.4	21.4	17.4	16.5	17.7
4. Reserve Money	18.1	21.0	9.0	13.8	16.1

BB will continue to focus on the quality, composition and pricing of private sector credit. BB will continue to encourage banks to focus on productive sectors and limit share of consumer credit. Bank lending and practices which contribute to asset bubbles e.g. in land prices will be closely examined and discouraged. Closer bank supervision and inspection will also ensure that single borrower exposure limits are not exceeded so that the distribution of this private sector credit growth remains broad-based across the spectrum of different industry sizes. Measures to further promote SMEs and agricultural lending as a share of private sector credit will be encouraged. Interest rate spreads will be closely monitored and publicly disclosed on BB's website, and BB will seek the cooperation of those banks with currently high spreads to reduce these further. Information on interest rates for each bank by type of product will continue to be updated on BB's website to promote both competition and transparency. Random visits to branches will be carried out by BB to assess the accuracy of the reported data and any mis-reporting will be dealt with promptly at the level of the concerned banks management and boards.

BB will aim to strengthen the transmission of monetary policy by improving market mechanisms. One key focus will be on strengthening domestic debt management including promoting greater use of the new secondary market trading platform for government securities and the active trading of new shorter-dated Government instruments. The Ministry of Finance amended the bond:bill ratio from 80:20 to a 50:50 ratio which has significantly improved the appetite for government securities. While not under the direct purview of BB, various monetary and financial sector related actions have contributed to stabilizing the capital market and BB will continue to collaborate with the BSEC in this regard.

Financial sector stability is important for effective monetary policy and BB will continue its intensified focus on bolstering financial sector soundness and stability; interalia by tightening loan classification and provisioning requirements towards convergence with global best practice standards, introducing online supervisory reporting requirements on financial transactions, strengthening onsite and offsite vigilance on risk management, internal controls and internal audit in banks and financial institutions. The classification and provisioning guidelines will make a one-off difference to bank profitability but will not affect liquidity and lending capacity. As such they will not affect the private sector growth target which is programmed here to achieve FY13's economic growth targets. Bangladesh Bank will also commence special diagnostic examinations at the four SOCBs focused on asset quality, liquidity management, and internal audit and control in early 2013. On top of this, BB will begin publishing a set of quarterly performance indicators on these SOCBs. BB will focus on improving the quality, timeliness and transparency of reporting from the financial sector. Related to this, various measures to detect fraud have been implemented and BB has strengthened its supervision capacity as well as reiterated the role that bank boards and management play in this regard.

This monetary program takes into account various global and domestic risks for H2FY13 and has built in a degree of flexibility to take into account changed circumstances. The outcomes of the monetary program and policies pursued in H2 FY12 will be reviewed in July 2013 in light of prevailing global and domestic economic conditions. In the meantime monthly Monetary Policy Committee meetings will continue in order to make necessary policy adjustments.

Annex 1: BANGLADESH BALANCE OF PAYMENTS

In million US$

	2010-11 Actual	2011-12 Provisional	2012-13 Projection
Trade balance	**-9,935**	**-9,317**	**-8,637**
Services	**-2,612**	**-2,723**	**-3,802**
Primary income	**-1,454**	**-1,508**	**-1,829**
Secondary income	**12,452**	**13,699**	**15,343**
*Of which: W*orkers' remittances	11,650	12,843	14,769
CURRENT ACCOUNT BALANCE	**-1549**	**151**	**1075**
Capital account	**642**	**469**	**650**
Financial account	**514**	**785**	**501**
Foreign Direct investment	775	1192	1250
Errors and omissions	**-263**	**-911**	**0**
OVERALL BALANCE	**-656**	**494**	**2226**
Reserve Assets	**656**	**-494**	**-2226**
Bangladesh Bank	656	-494	-2226
Assets	-481	293	2286
Liabilities	175	-201	60

Source: Statistics Department, Bangladesh Bank, EPB and the Ministry of Finance.

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